



Teradyne Inc (TER) — Research Summary

Technology | Semiconductor Equipment & Materials | 2026-10-02

Price: \$449.04

Signal: BUY (7.61/10)

Market: bull_tech

Equity Research Summary: Teradyne Inc (TER)

Sector: Technology — Semiconductor Equipment & Materials | **Price:** \$449.04 | **Market Cap:** \$65.0B

1. COMPANY OVERVIEW & INVESTMENT THESIS

Teradyne designs and manufactures automated test equipment used to validate semiconductors, electronics, and systems, and also operates a growing industrial automation (robotics) business. The company sits directly in the path of the AI infrastructure boom, as rising demand for advanced memory testing (high-bandwidth memory, DRAM, NAND) and complex AI chips drives orders for its test platforms. With new product launches targeting AI data-center memory and strategic partnerships expanding its footprint, Teradyne is positioned as a key "picks-and-shovels" play on AI buildout.

2. FUNDAMENTAL SNAPSHOT

Valuation: Shares trade at a rich 54.9x trailing earnings and 30.7x forward earnings, with EV/EBITDA near 41x and P/FCF elevated. These multiples sit well above typical semiconductor-equipment peers, reflecting high growth expectations already baked into the price. Price-to-sales of 14.6x and price-to-book of 18.1x reinforce that this is a premium-valued name.

Earnings Trend: Momentum here is a standout. Teradyne has beaten consensus in each of the last four quarters, with recent beats of +21.1%, +20.8%, and +30.4%. Earnings have accelerated meaningfully, moving from \$0.85 to \$2.47 per quarter over the past year.

Revenue & Margins: Revenue grew 22.7% year-over-year in the most recent quarter (and a striking +66.7% the prior quarter). Profitability is strong, with gross margins near 60%, operating margins of roughly 33-37%, and a net profit margin of 25.8%.

Balance Sheet: Excellent. With \$0.4B cash against just \$0.1B debt, Teradyne is effectively in a net-cash position (D/E of 0.03) and generates healthy free cash flow (~\$0.6B).

3. TECHNICAL OUTLOOK

52-Week Range: \$131.50 – \$487.72. At \$449, the stock trades near the top of its range — roughly 92% of the way up — after a dramatic recovery from its lows.

Momentum: Strongly building. The stock has climbed from the high-\$380s in late September toward \$449, tracking a broad semiconductor rally (the SOX index recently hit three-month highs). Recent sessions show Teradyne frequently outpacing the broader market.

Levels to Watch: Resistance sits near the 52-week high of ~\$488; a break above would signal continued strength. Support can be identified near the recent consolidation zone around \$390, with the breakout area near \$400 now acting as a floor.

4. NEWS & SENTIMENT

Overall Sentiment: Slightly Bullish

Three key themes dominate recent coverage:

- **AI memory testing leadership** — The launch of the Magnum E2 high-speed memory test system for next-gen DRAM/NAND in AI data centers positions Teradyne to capture HBM-driven demand and compete directly with KLAC and COHU.
- **Strategic expansion** — New partnerships (GS Microelectronics test center in Silicon Valley), India expansion, and fresh UltraFLEXplus instruments signal a company aggressively broadening its AI-exposed product lines.
- **Valuation debate** — Several articles openly question whether the stock is "fully priced" after its ~44% six-month rally, with at least one bearish piece arguing reasons to sell.

Market Narrative: Teradyne is viewed as a credible AI-infrastructure beneficiary with real revenue and earnings to show for it — but the debate has shifted from "is the growth real?" to "is it already in the price?" Analyst consensus (12 Buy, 5 Hold, 0 Sell) is positive, yet the average target of \$446 sits essentially at today's price, implying the market has largely caught up to fundamentals.

5. BOTTOM LINE

Aerondight Systems Signal: BUY (7.61/10)

Thesis: Teradyne is a high-quality, AI-levered test-equipment leader with accelerating earnings and a pristine balance sheet — but trading at a premium that leaves little room for disappointment.

Key Upcoming Catalyst: Next quarterly earnings report, where investors will look for continued beats and guidance confirming sustained AI-memory demand; adoption traction for the Magnum E2 platform is the key metric to watch.

Risk Level: High — driven by a stretched valuation, elevated beta (1.78), position near 52-week highs, and sensitivity to any cooling in the AI capital-spending cycle.

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